

## HEADLINE JUDGMENT

Note: 13 Jul figures are intraday prints; 10 Jul is now a final close (\$76.03 Brent). Bloomberg's restated continuation series (front-month CO2/CL2) in force; two gasoline series tracked; JGLA / Asia LNG pulled fresh. **Score HOLDS at 23/30 — but only because the two event channels are already maxed out. The underlying situation deteriorated sharply over the weekend.** On Saturday Iran struck a Cyprus-flagged container ship on the Oman route (ablaze, engine room destroyed, 23 crew rescued, one missing); **on Sunday the IRGC Navy formally DECLARED THE STRAIT CLOSED** to all vessels (CENTCOM disputes it, saying transits continue). The US answered with three rounds of strikes — 140 targets overnight, **300+ targets over three nights** — and **Iran retaliated against five Gulf states: Bahrain, Kuwait, Qatar, Jordan and Oman** (its own mediator); the UAE and Qatar intercepted missiles. **Trump has declared the ceasefire “over”**; the UN Secretary-General warned that a return to full hostilities “would have catastrophic consequences,” and the 60-day deal is at the edge of collapse at its midpoint. Maritime and escalation are both 5/5 — the score cannot register further geopolitical deterioration; only the market channels can move it now. **And those remain strikingly calm.** Brent rallied to \$78.70 intraday (+\$6.22 premium) but is nowhere near the \$95 oil→3 trigger; the 30Y holds 5.08% but MOVE is 69.55 (<75, so Treasury→5 stays dormant); 5Y5Y 2.19% is below the 2.20% line; and **VIX fell to 15.03, its lowest of the entire war.** The OPEC+ glut, spare capacity and the Saudi/UAE bypass pipelines keep the physical shock capped. Gasoline is the one channel visibly transmitting — AAA up to \$4.48 from \$4.38. The gap between a formally closed strait / widening regional war and a 15-handle VIX is the central risk of this edition. Sequencing 22 → 23 → 23.

## 1 · Live tape

## Oil and natural gas — Bloomberg front-month / active

13 Jul 2026 readings are intraday prints; 10 Jul and earlier are final closes (restated continuation series; front-month CO2/CL2). d/d deltas are 13 Jul intraday vs 10 Jul close; w/w deltas are vs 6 Jul close.

| Benchmark                      | Intraday 13 Jul                                                                                                                                                                                  | Δ d/d                                                         | Δ vs pre-war close (27 Feb)                                                                             | BBG ticker         |
|--------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|--------------------|
| Brent front-month              | \$78.70 /bbl                                                                                                                                                                                     | +\$2.67 (+\$6.46 w/w)                                         | from \$72.48 (+8.6%) — ~\$6.2/bbl premium on the formal closure; still far below the \$95 oil→3 trigger | CO2 Comdty         |
| Brent · 10 Jul close (carried) | \$76.03 /bbl (matched my intraday)                                                                                                                                                               | the weekend closure/strikes drove the fresh Monday leg higher |                                                                                                         | CO2 Comdty (Close) |
| WTI front-month                | \$74.11 /bbl                                                                                                                                                                                     | +\$2.77 (+\$5.55 w/w)                                         | from \$67.02 (+10.6%) — mid \$70s                                                                       | CL2 Comdty         |
| Brent–WTI spread               | \$4.59 /bbl                                                                                                                                                                                      | –\$0.10 d/d                                                   | wide                                                                                                    | derived            |
| Henry Hub natural gas          | \$2.92 /MMBtu                                                                                                                                                                                    | –\$0.02 (–\$0.33 w/w)                                         | from \$3.06 (–4.8%) — US gas BELOW pre-war (domestic storage); not Hormuz-exposed                       | NGA Comdty         |
| TTF Dutch gas (active)         | €49.30 /MWh                                                                                                                                                                                      | +€0.65 (+€5.17 w/w)                                           | from €31.23 (+57.9%) — elevated on the closure (20% of global LNG transits the strait)                  | TZTA Comdty        |
| Japan/Asia LNG (10 Jul close)  | ¥2,852                                                                                                                                                                                           | +¥18 d/d                                                      | from ¥1,669 (+70.9%) — the most-stressed energy gauge; Qatari LNG is strait-locked                      | JGLA Comdty        |
| Strait · IRGC declares CLOSED  | The IRGC Navy declared the strait closed to all vessels (12 Jul) after firing on a container ship; CENTCOM disputes, saying “commercial vessel transits continue.” Ship-tracking is the arbiter. |                                                               |                                                                                                         | IRGC / CENTCOM     |
| EIA June STEO (9 Jun)          | Brent ~\$105/b Jun–Jul assumed a closed strait — the strait is now formally closed, yet Brent is \$78: the glut and bypass pipelines are the difference                                          |                                                               |                                                                                                         | EIA STEO           |

## US Treasuries and inflation expectations — Bloomberg

13 Jul 2026 yields are intraday. d/d deltas are 13 Jul intraday vs 10 Jul close; w/w deltas are vs 6 Jul close. Yields rose across the curve on the weekend escalation, but bond vol stayed subdued and forward inflation is still below its trigger.

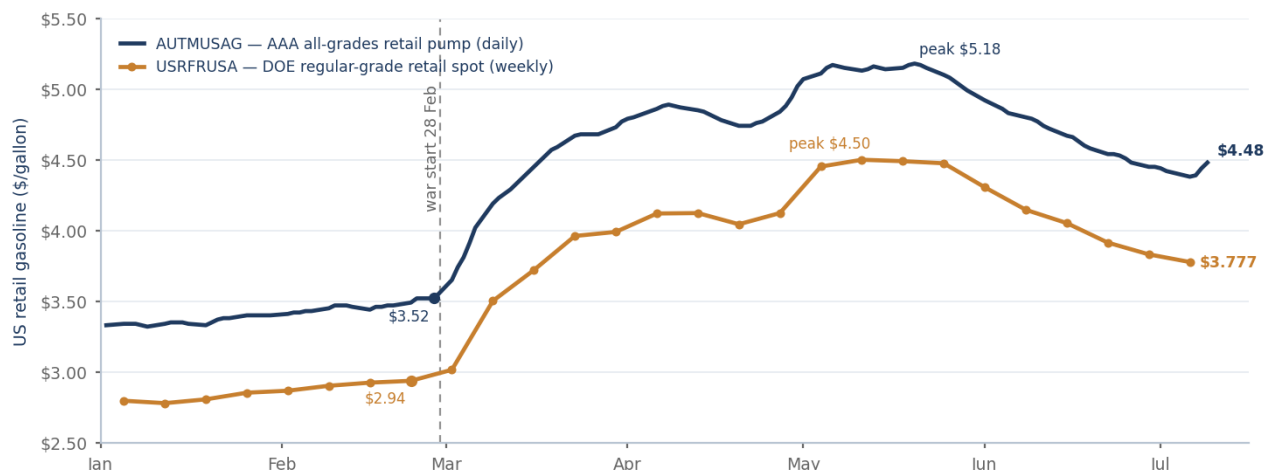
| Tenor                   | Yield (%) — intraday 13 Jul | Δ d/d (bp) | Δ w/w (bp) | Δ vs pre-war (bp)                                                 | BBG ticker     |
|-------------------------|-----------------------------|------------|------------|-------------------------------------------------------------------|----------------|
| 2-year UST              | 4.23                        | +2.5       | +12.3      | +86 (from 3.37%) — hawkish-FOMC level                             | USGG2YR Index  |
| 5-year UST              | 4.33                        | +2.8       | +13.3      | +83 (from 3.50%)                                                  | USGG5YR Index  |
| 10-year UST             | 4.59                        | +2.4       | +11.6      | +65 (from 3.94%) — 6 bp below the 4.65% trigger (closing in)      | USGG10YR Index |
| 30-year UST             | 5.08                        | +2.4       | +9.8       | +47 (from 4.61%) — holds above 5.00%; price leg of Treasury→5 met | USGG30YR Index |
| 2s10s spread            | +35 bp                      | +0.3       | –0.3       | –20 (steep)                                                       | USYC2Y10 Index |
| 10Y breakeven inflation | 2.26                        | +0.4       | —          | 0 (from 2.257%) — back at pre-war on the oil bid                  | USGGBE10 Index |

| Tenor                  | Yield (%) — intraday<br>13 Jul | Δ d/d (bp) | Δ w/w (bp) | Δ vs pre-war (bp)                                                                      | BBG ticker     |
|------------------------|--------------------------------|------------|------------|----------------------------------------------------------------------------------------|----------------|
| 5Y5Y forward inflation | 2.19                           | −0.1       | −0.5       | +5 (from 2.14%) — still BELOW the 2.20% line despite the closure; US-inflation stays 3 | USGG5Y5Y Index |
| SOFR (lagged print)    | 3.63                           | —          | —          | series lags                                                                            | SOFRRATE Index |

## Cross-asset stress and political-transmission gauges — Bloomberg

| Indicator                                                     | Latest       | As of           | Δ vs pre-war                  | Interpretation                                                                                                                                                                           |
|---------------------------------------------------------------|--------------|-----------------|-------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| DXY (dollar index)                                            | 101.17       | 13 Jul intraday | +3.56 (from 97.61)            | Firmed above 101 on the escalation — a mild haven bid. No Stage-4 break.                                                                                                                 |
| MOVE Index (bond vol)                                         | 69.55        | 10 Jul (lagged) | −3.83 (from 73.38)            | Still below the 75 leg of the Treasury →5 trigger — the long-end rise remains orderly term premium, not funding stress, even with the strait formally closed.                            |
| VIX (equity vol)                                              | 15.03        | 10 Jul (lagged) | −4.83 (from 19.86)            | <b>The LOWEST reading of the entire war</b> — equities are pricing a contained, capped conflict. The single most striking divergence in this edition.                                    |
| Gasoline · AUTMUSAG (AAA, all-grades pump) — score reference  | \$4.48 /gal  | 9 Jul (latest)  | +\$0.96 (from \$3.52, +27%)   | The political-stress reference (pre-war \$3.52, peak \$5.18). Rising steadily off the \$4.38 low as crude feeds the pump — the channel visibly transmitting. Below the \$4.75 threshold. |
| Gasoline · USRFRUSA (DOE, regular-grade spot) — corroboration | \$3.777 /gal | 6 Jul (weekly)  | ~+\$0.84 (from ~\$2.94, +29%) | Regular-grade spot; peak \$4.50 (11 May). Stale (pre-re-escalation); will re-rate up on the next weekly print.                                                                           |

## US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest \$4.48 — turning back up); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$3.777). The AAA line has now risen for four straight sessions off its early-July low (\$4.38 → \$4.48) as the re-escalation feeds the pump — the clearest sign of the shock transmitting to US households. The \$4.75 political→5 threshold is 27 cents away.

## Strait operational state

| Indicator                                | Current reading                                                                                                                                                                                                                                               | Source                    |
|------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------|
| IRGC declares the strait CLOSED (12 Jul) | The IRGC Navy declared the strait closed to all vessels after firing a "warning shot" that stopped a ship on an "unauthorized route." CENTCOM disputes it: "commercial vessel transits... continue." Competing claims; ship-tracking is the arbiter.          | IRGC / CENTCOM / AP       |
| Container ship struck (11 Jul)           | A Cyprus-flagged container ship on Oman's shoreline route was set ablaze with "significant engine room damage"; Oman rescued 23 crew, one (an Indian national) missing. The IRGC said vessels "disregarded our warnings."                                     | UKMT0 / Oman MA / AP      |
| US strikes — 300+ targets, 3 nights      | CENTCOM completed a third round overnight, hitting 140 targets, to hold Iran "accountable for its attack on commercial vessels" — 300+ targets across three nights (missile/air-defense sites, IRGC boats). Hegseth: "Iran made a poor choice. Now they pay." | CENTCOM / NPR / Bloomberg |
| Iran hits FIVE Gulf states               | Iran retaliated against Bahrain, Kuwait, Qatar, Jordan and Oman — including drone strikes on Oman, the mediator it had been negotiating strait management with a day earlier. The UAE and Qatar intercepted missiles.                                         | AP / PBS / NPR            |
| Ceasefire "over"; deal at the brink      | Trump declared the ceasefire "over." The 60-day interim deal is near its midpoint and "at the edge of collapse." UN SG Guterres: a return to full-scale hostilities "would have catastrophic consequences." Pakistan (Dar) and Oman still urge diplomacy.     | AP / NPR / UN             |
| Market divergence — the tell             | Despite a formally closed strait and strikes on five Gulf states, Brent is \$78.70, MOVE 69.55 and VIX 15.03 (war low). The OPEC+ glut, spare capacity and the Saudi Red Sea / UAE Fujairah bypass pipelines cap the physical shock.                          | Bloomberg                 |

## 2 · US economic shock — analysis with bond yields

The US economic shock holds at **23/30** — but the hold is an artifact of the scale, not a sign of stability: maritime and escalation are both already at 5/5, so the weekend's formal strait closure, 300+ US strike targets and Iranian attacks on five Gulf states cannot register further. Only the four market channels can move the score now, and each remains short of its trigger — oil at \$78.70 (vs \$95), MOVE 69.55 (vs 75), 5Y5Y 2.19% (vs 2.20%), gasoline \$4.48 (vs \$4.75). Three of the four are close. The economy is being shielded by the OPEC+ glut and the bypass pipelines; that shield, not diplomacy, is what is holding the score at 23.

### 2.1 · Bond-yield transmission

13 Jul yields are intraday; d/d vs 10 Jul close, w/w vs 6 Jul. **No channel moved; score held at 23.** The curve rose across the board on the escalation (2Y +12.3 bp, 5Y +13.3 bp, 10Y +11.6 bp w/w) and the dollar firmed above 101 — but bond vol stayed subdued (MOVE 69.55) and equity vol hit a war low (VIX 15.03). Brent jumped \$2.67 to \$78.70.

**(i) Inflation anchor — still below 2.20%; held at 3.** 5Y5Y forward at 2.19% remains below the upgrade line even with the strait formally closed; 10Y breakeven 2.26% is back at pre-war. The market continues to read the shock as demand-destructive rather than a durable inflation impulse — a view that would break if the closure persists and physical cargoes are actually lost.

**(ii) Long-end — 5.08%; Treasury Fed-pinned at 4, →5 dormant.** The 30Y holds above 5.00% (the price leg of the →5 trigger is met) and the 10Y at 4.59% is now just 6 bp below its 4.65% trigger — but MOVE at 69.55 is 5.5 points below the 75 vol leg. The rise is orderly term premium plus a modest war bid, not funding stress. A bond-vol spike is the missing ingredient.

**(iii) Oil — \$78.70; held at 2.** Closes 9 Jul \$76.20, 10 Jul \$76.03; 13 Jul intraday \$78.70 (+\$6.22 premium); WTI \$74.11. **The striking fact: the strait is formally closed and Brent is in the \$70s.** In March, a closed strait meant \$100+. The difference is the OPEC+ glut, ~4 mb/d of spare capacity, and the Saudi Red Sea / UAE Fujairah pipelines that bypass Hormuz. Oil holds at 2; the \$95 trigger requires the closure to actually bite on physical cargoes.

### 2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. The long end is above 5.00% and the 10Y is near 4.65%, but bond vol is subdued — Threshold B is closing but not triggered.

**Threshold A · 13 May 30Y auction. Historical.** Cleared at 5.050%. With 30Y at 5.08%, the next long-bond auction is a live test.

**Threshold B · 30Y above 5.20% with 10Y above 4.65%. Closing.** 30Y 5.08% is 12 bp below 5.20%; 10Y 4.59% is just 6 bp below 4.65%. The 10Y leg could trip this week.

**Threshold C · MOVE above 130. Dormant.** MOVE 69.55; VIX 15.03 (war low). Bond and equity vol are both signalling containment — far below Stage-4 levels.

### 2.3 · Cross-asset

The central fact of this edition is a divergence that has now become extreme: the Strait of Hormuz has been formally declared closed by the IRGC, the US has hit 300+ targets in three nights, Iran has attacked five Gulf states, the President has declared the ceasefire over, and the UN is warning of catastrophe — while the VIX prints 15.03, its lowest of the war, and Brent trades in the \$70s. Markets are betting that the OPEC+ glut, spare capacity and the bypass pipelines make a Hormuz closure economically survivable in a way it was not in March. That bet may be right; the tail risk is that it is complacent. Watch for the first evidence of physically lost cargoes — tanker loadings, Qatari LNG (Asia LNG already +71%), war-risk premiums — which is where the repricing would begin. Gasoline (AAA \$4.48, up four sessions) is the one channel already transmitting to US households.

### 3 · Shock score

Total: **23/30** — **CRISIS band**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

| Channel              | Score | Rationale                                                                                                                                                                                                                                                                                                                                                          | Triggers                                                                                                                              |
|----------------------|-------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| Maritime denial      | 5/5   | <b>Held at 5 (max).</b> The IRGC Navy formally declared the strait CLOSED to all vessels (12 Jul) after setting a container ship ablaze; CENTCOM disputes, saying transits continue. Either way the channel is maxed — it cannot capture further deterioration.                                                                                                    | ↑ at max. ↓ verified reopening with traffic >25% of normal for 10 sessions → to 3–4.                                                  |
| Oil price shock      | 2/5   | <b>Held at 2.</b> Brent \$78.70 (+\$6.22 premium) — elevated but far below the \$95 trigger even with the strait formally closed. The OPEC+ glut, ~4 mb/d spare capacity and the Saudi/UAE bypass pipelines cap the shock.                                                                                                                                         | ↑ Brent >\$95 sustained (closure bites on physical cargoes) → to 3. ↓ mediated pause + close back at/below the \$72.48 anchor → to 1. |
| US inflation impulse | 3/5   | <b>Held at 3.</b> 5Y5Y 2.19% is still below the 2.20% line despite the closure; 10Y BE 2.26% back at pre-war. The market reads the shock as growth-negative, not a durable inflation impulse.                                                                                                                                                                      | ↑ 5Y5Y sustained >2.20% → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.                                           |
| Treasury stress      | 4/5   | <b>Held at 4 — →5 dormant.</b> 30Y 5.08% holds the price leg and the 10Y (4.59%) is 6 bp from its 4.65% trigger — but MOVE 69.55 is well below the 75 vol leg. Orderly term premium, not funding stress.                                                                                                                                                           | ↑ 30Y close >5.00% with MOVE >75 → to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.                                                     |
| Political stress     | 4/5   | <b>Held at 4 — the channel now transmitting.</b> AAA pump \$4.48 (9 Jul), up four straight sessions from the \$4.38 low as crude feeds through. 27 cents below the \$4.75 threshold.                                                                                                                                                                               | ↑ gasoline >\$4.75 sustained → to 5. ↓ toward the \$3.52 pre-war level → to 3.                                                        |
| Escalation risk      | 5/5   | <b>Held at 5 (max).</b> Three nights of US strikes (300+ targets), Iranian attacks on five Gulf states (Bahrain, Kuwait, Qatar, Jordan, Oman), Trump declaring the ceasefire “over,” the deal at the edge of collapse. Maxed — cannot capture further deterioration.                                                                                               | ↑ at max. ↓ mediated stand-down + talks resume → back to 4–3.                                                                         |
| TOTAL                | 23/30 | <b>CRISIS band — held at 23, but the hold is an artifact of the scale.</b> Both event channels are maxed at 5/5, so the weekend's formal closure and regional strikes cannot register. Only the market channels can move the score — and all four sit just short of their triggers (oil \$95, MOVE 75, 5Y5Y 2.20%, gasoline \$4.75). The OPEC+ glut is the shield. |                                                                                                                                       |

### 4 · What's changed since the last edition (10 Jul → 13 Jul AM)

**Score holds at 23/30 — because maritime and escalation are already maxed (5/5).** The weekend's deterioration cannot register further on the scale. Source: AP / NPR / PBS / CENTCOM / Bloomberg.

**IRGC formally declared the strait CLOSED (12 Jul).** After setting a Cyprus-flagged container ship ablaze (11 Jul; 23 rescued, one missing), Iran declared no vessels may transit; CENTCOM disputes it. Source: IRGC / CENTCOM / AP.

**300+ US strike targets in three nights.** CENTCOM's third round hit 140 targets overnight; Hegseth: “Iran made a poor choice. Now they pay.” Source: CENTCOM / NPR.

**Iran attacked FIVE Gulf states.** Bahrain, Kuwait, Qatar, Jordan and Oman — including the mediator Oman; the UAE and Qatar intercepted missiles. The war is widening regionally. Source: AP / PBS.

**Trump declared the ceasefire “over.”** The 60-day deal is at the edge of collapse at its midpoint; the UN warns of “catastrophic consequences.” Source: AP / NPR / UN.

**Markets stayed calm — the key tell.** Brent \$78.70 (well below \$95), MOVE 69.55 (below 75), 5Y5Y 2.19% (below 2.20%), and **VIX 15.03** — the lowest of the war. Only gasoline is transmitting (AAA \$4.48, up four sessions). Source: Bloomberg.

### 5 · Scenario map · next 7 to 30 days

| Scenario                                          | P   | Description                                                                                                                                                                             | Market path                                                                                                     |
|---------------------------------------------------|-----|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|
| Mediated pause — strikes halt, strait reopens     | 12% | Pakistan/Oman broker a halt despite Oman itself being struck; both sides step back and the strait reopens. Trimmed hard — the mediator is now a target.                                 | Brent \$68–78; MOVE <70; score falls back toward the systemic-risk band as maritime/escalation ease.            |
| Contained but violent — low-grade war             | 26% | The exchange settles into an on-off campaign: an Iran-controlled/closed strait, sporadic strikes, escort convoys — without a wider regional war. Markets keep pricing containment.      | Brent \$76–92; yields firm; risk premium \$5–12/bbl; maritime/escalation stay 5; market channels near triggers. |
| Deal collapse — sustained standoff                | 18% | The 60-day MoU formally lapses; sanctions harden, the strait stays shut, but the fighting stays bounded. Negotiations dead.                                                             | Brent \$88–104; 10Y >4.65%; 30Y >5.20%; oil to 3, Treasury to 5; score 25–26.                                   |
| Return to full war                                | 38% | The three-night campaign becomes a sustained one — Iranian attacks on Gulf states continue and the US escalates. The single most likely path; the ceasefire is already declared “over.” | Brent \$100–135; MOVE >75; risk-off; oil to 3–4, Treasury to 5, US-inflation to 4; score 26–28.                 |
| Regional relapse — Gulf energy infrastructure hit | 6%  | Iran strikes Gulf energy infrastructure (Abqaiq/Ras Tanura/Fujairah) or mines the strait anew, removing the bypass shield. The scenario that breaks the market's containment bet.       | Brent \$150+; emergency policy; HY spreads >500 bp; score 28–30.                                                |

Probability shifts from the 10 Jul edition: mediated pause –6 (18→12 — Oman, the mediator, was itself struck), contained-but-violent –2 (28→26), deal collapse +1 (17→18), return to full war +5 (33→38), regional relapse +2 (4→6). Driver: the formal strait closure, 300+ US strike targets, Iranian attacks on five Gulf states and Trump declaring the ceasefire “over” make a sustained campaign the modal path. **The critical asymmetry:** the market channels are all just short of their triggers, so the scenarios that break the OPEC+/bypass-pipeline shield (regional

relapse, full war) would move three or four channels at once — the score would jump, not drift.

## 6 · Watchlist · next 24–72 hours

**Does the closure bite? — the swing.** Iran says the strait is closed; CENTCOM says transits continue. Ship-tracking (AIS), tanker loadings and Qatari LNG cargoes are the arbiter. Evidence of physically lost cargoes is what would take oil 2→3 (Brent >\$95) and break the market's containment bet.

**Gulf energy infrastructure — the tail.** Iran has now struck five Gulf states. If Abqaiq / Ras Tanura / Fujairah or the bypass pipelines are hit, the shield that is capping oil at \$78 disappears — the fastest route to a multi-channel jump.

**Oil →3 (\$95).** Brent \$78.70 with a formally closed strait. The gap between the physical situation and the price is the core risk.

**Treasury →5 (MOVE >75).** 30Y 5.08% (price leg met), 10Y 4.59% (6 bp from its own 4.65% trigger), but MOVE 69.55. A bond-vol spike is the missing ingredient.

**Political →5 (\$4.75).** AAA gasoline \$4.48, up four straight sessions — 27 cents from the threshold. The channel most likely to upgrade next.

**US-inflation →4 (5Y5Y >2.20%).** At 2.19% — 1 bp away. Would fire if the market re-reads the closure as inflationary rather than growth-negative.

**Mediation.** Pakistan (Dar) and Oman urge diplomacy, but Oman was itself struck by Iranian drones — the mediation channel is now compromised. Watch for a new venue or a Gulf-state initiative.

## 7 · Source log · this edition

**Tier 1 — primary market data.** Bloomberg Terminal extract (US\_Iran\_BBG\_Data.xlsx, restated front-month continuation series). Tickers: CO2/CL2 Comdty (Brent/WTI front-month); NGA/TZTA/JGLA Comdty (Asia LNG pulled fresh); USGG2YR/5YR/10YR/20YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (AAA pump — score reference) and USRFRUSA (DOE regular spot, weekly — corroboration).

**Tier 1 — news and institutional.** AP, NPR, PBS NewsHour, Washington Post, Bloomberg, Al Jazeera, Reuters, UKMTO, Oman Maritime Authority; US CENTCOM, US Treasury/OFAC, the United Nations (Secretary-General Guterres). The IRGC's formal closure declaration, the Cyprus-flagged container-ship attack, the 300+ US strike targets over three nights, Iran's attacks on Bahrain/Kuwait/Qatar/Jordan/Oman, and Trump's declaration that the ceasefire is "over" via AP / NPR / PBS / CENTCOM / Bloomberg.

**Tier 3 — state media (labelled).** Iranian statements (the IRGC's closure declaration and "disregarded our warnings" framing, IRNA's Qeshm/Bandar Abbas strike reports) are labelled and corroborated against AP / NPR / CENTCOM; IRNA, Tasnim, Mehr, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

## 8 · On-demand update protocol

| # | Step                                     | Detail                                                                                                                                                                                                                                              |
|---|------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 | Refresh the Bloomberg extract            | Parse the latest dated row as intraday; reclassify the prior session as a final close (10 Jul); re-map columns via the robust scan (oil front-month CO2/CL2; both gasoline series; Asia LNG pulled fresh; DXY col98).                               |
| 2 | Recompute deltas                         | d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 6 Jul this edition); vs-pre-war vs the 27 Feb 2026 anchor.                                                                                                              |
| 3 | Re-evaluate the six shock-score channels | Market channels move on a confirmed close — all four held (oil \$78.70 <\$95; MOVE 69.55 <75; 5Y5Y 2.19% <2.20%; AAA \$4.48 <\$4.75). Maritime and escalation are event-based and already at 5/5 (max) — the weekend deterioration cannot register. |
| 4 | Reconcile against the prior edition      | Flag intraday-vs-close divergences (this edition: the 10 Jul close matched my intraday at \$76.03; VIX fell to a war low of 15.03).                                                                                                                 |
| 5 | Update scenarios and watchlist           | Re-rank near-term catalysts; lead with whether the closure bites on physical cargoes, Gulf energy infrastructure, and the four market triggers (oil \$95, MOVE 75, 5Y5Y 2.20%, gasoline \$4.75).                                                    |

## 9 · Methodology

**Shock-score scale.** Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based. **Scale note:** maritime and escalation are both at their 5/5 maximum, so further geopolitical deterioration (this weekend: a formal strait closure, 300+ strike targets, attacks on five Gulf states) cannot raise the score. Only the four market channels can now move it — all four are close to, but short of, their triggers. Readers should treat the 23/30 as a floor on the geopolitical situation, not a measure of its severity.

**Gasoline series.** Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest \$4.48 — up four straight sessions) for continuity. USRFRUSA (DOE regular-grade retail spot; pre-war ~\$2.94, peak \$4.50, latest \$3.777, pre-re-escalation) is tracked alongside. See the chart in section 1.

**Pre-war anchor (27 Feb 2026 close).** Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent +8.6%, WTI +10.6%, Asia LNG +70.9%, TTF +57.9%; the long end (30Y >5.00%) sits above; 10Y BE is back at pre-war; MOVE and VIX are BELOW pre-war (VIX at a war low) — the market's containment signal. US Henry Hub is below pre-war (domestic storage).

**Intraday caveat.** The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close. Market-channel triggers are evaluated on confirmed closes; escalation-risk is event-based. Absolute levels use the restated continuation series and are not directly comparable with pre-restatement editions, though the directional analysis is continuous.